

A Pre-Existing Duty as Consideration

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Session with Dean's Fellows

**Wednesday September 30 from 12:30 pm - 1:30 pm in IKB
1002**

An existing duty as consideration

Should the performance of a pre-existing legal obligation (could be contractual, statutory or otherwise), or the promise to perform such an obligation, be **sufficient** consideration for a promise? Should the law enforce such promises?

Yes:

- Promotes freedom of contract
- Such agreements may offer some commercial/practical/legal benefits

No:

- Enforcing such agreements may encourage extortion, duress, and other forms of unconscionable dealings.
- The promisee is already bound to perform what he is using as consideration, so his promise or performance should be of no value in the eyes of the law.

- ☐ Rather than develop a general rule applicable to using all pre-existing duties as consideration, the common law has developed specific rules. The rules have been designed taking into account the relationship between the promisor and the promisee and the source of the pre-existing duty, i.e., to whom the pre-existing duty is owed
- ☐ The law here is informed by policy choices, not all of which you may agree with.

Performance of existing duties – duty imposed by contract with promisor (contract variation cases)

Illustrated:

Ben has a contract with **Jerry**. **Ben** makes a new promise to **Jerry** to secure **Jerry's** performance of one or more of the obligations owed under their pre-existing contract.

- There are three different approaches at common law:
 - The “pre-existing duty rule”. Consideration does not consist of promising to do something one is already bound to do for the promisor. Fresh consideration is required to make the new promise enforceable. *Stilk, Smith, Foakes, Gilbert Steel*
 - The “practical benefit” approach. A practical benefit, absent economic duress or fraud, will be sufficient consideration for variations to existing agreements. *Williams v Roffey Bros Ltd, Richcraft Homes Ltd*
 - The “no consideration” approach. No consideration is required, but there must be no duress, unconscionability, or other vitiating factors. *Rosa, Nav Canada*

+++ Note in all these cases the parties were in a pre-existing contract.

Harris v. Watson 235-236

The Court held that a promise by the captain of a ship to pay a seaman extra wages in consideration of his performing more than the ordinary share of duty in navigating the ship, which was in distress, was not unenforceable on the ground of public policy. The court reasoned that if sailors were, in all events, to have their wages and, in times of danger, entitled to insist on an extra charge on such a promise, they would, in many cases, allow the ship to sink, unless the captain would pay any extravagant demand they might think proper to make. Explain why you agree or disagree with this decision.

Stilk v. Myrick 236

The plaintiff was a sailor who had been engaged for a return voyage from London to the Baltic for an agreed, fixed wage. Two members of the crew deserted. The captain was unable to replace them, so he promised to divide their wages between the remaining crew members if they worked the ship back to London. This is what the plaintiff did, but the captain declined to fulfil his promise. In an action for breach of contract, it was held that the promise was not binding as it was not supported by consideration.

- Why did the court hold that the plaintiff provided no good consideration for the captain's promise to pay him an extra amount?
- Suppose the captain had requested the seamen to give him a peppercorn (if they had one with them). Suppose he had put his promise in writing or under seal. Would the result have been different?
- Which of the two bases of decision do you prefer, consideration (as here) or public policy (as in *Harris*)?

Smith v. Dawson 238

The plaintiffs were a construction firm. They agreed with the defendant to build her a house for about \$6,000. When the house was nearly finished, a fire broke out in it, causing considerable damage. The fire appears to have been caused by the negligence of a subcontractor. The defendant had, in the meantime, moved her furniture into the house and insured it for \$1,000, but suffered a further loss of some \$1,050. She also insured the building and received \$2,150 in settlement of that claim. After the fire, the house was completed by the plaintiffs after a conversation with the defendant. The evidence was not very clear, but the court proceeded on the basis that the defendant promised the plaintiffs the insurance money if they went ahead to complete the house, which they did. The court held that the promise (if there was one) to pay for the work to be done was not binding on the defendant for want of consideration.

- Explain why you agree or disagree with the outcome of this decision.

Gilbert Steel v. University Construction Ltd 240-243

- What were the facts and legal issues in this case?
- In this case, the following alternatives were proposed for consideration: (i) promise to give “a good price” on the steel for the second building, (ii) the mutual abandonment of rights under the old contract and its substitution with a wholly new contract, and (iii) the increased credit offered to the defendant. Explain and discuss how the court treated each of these proposed consideration for the promise to pay a higher price for the steel.
- Was the focus on consideration wrong? Should the court rather have focused on whether or not the promise to pay the increased price was illegitimately secured (i.e., whether there was duress)?

Raggow v. Scougall and Co. 239-240

- What were the facts of this case?
- Why did the court conclude that the parties' agreement under which the plaintiff agreed to a reduction of wages during the First World War was binding? Was it significant that the contract provided that if the business should be discontinued during the [two-year] period the agreement should cease to be of any effect?
- Can you reconcile this decision with *Harris*, *Stilk*, and *Smith*?

William v Roffey 243-244

This case decided that where a party to a contract promised to make an additional payment in return for the other party's promise to perform his existing contractual obligations and as a result secured a benefit or avoided a detriment, the advantage secured by the promise to make the additional payment was capable of constituting consideration therefor, provided that it was not secured by economic duress or fraud

- What were the facts of this case, the legal issue and the decision of the court?
- Why did the court decide that there was good consideration to pay the extra sum in this case?

Richcraft Homes Ltd. v. Urbandale Corp. 245-246

Clarifying an unclear term in a long-term contract, in order to create certainty and to avoid future costly disputes, enures to the parties' mutual benefit, and is something of value that flows from and to each contracting party. It thus serves as a functional form of consideration. Explain why you agree or disagree with this position.

Rosas v Toca 252-253

- This case decides that when parties to a contract agree to vary its terms, the variation should be enforceable without fresh consideration, absent duress, unconscionability, or other public policy concerns, which would render an otherwise valid term unenforceable. A variation supported by valid consideration may continue to be enforceable for that reason, but a lack of fresh consideration should no longer be determinative. How significant is this decision? What is the scope of the decision?
- The cases established two alternative ways of determining the enforceability of a contract variation: whether it is supported by consideration or whether it was entered into voluntarily and free from economic duress, unconscionability, or other public policy concerns. Do you regard the reform introduced in this case as incremental? Would it have been more appropriate for the legislature to undertake the reform?
- “Following Rosas, Canadian courts have shown flexibility regarding consideration for contract modifications, especially when parties seek to adapt their agreements to changing circumstances, but do not renegotiate every term. The flexibility allows courts to uphold contract modifications if one party receives a practical benefit, even if it is not technically fresh consideration. For example, a court may uphold an agreement whereby a creditor accepts a lesser sum of money in exchange for timely payment, even though the creditor is not providing fresh consideration.” *Randhawa v. Khaira* 2025 BCSC 542 para 189-190. Explain why you agree or disagree with this new approach to contract variation and the requirement of consideration.

[Senso Group Building Supplies Inc. v. 57-63 Finch Developments Inc., 2025 ONSC 3620 \(CanLII\), para 84](#): Even if I am wrong in the foregoing, I would find that the agreement to vary the payment terms should be enforced despite a lack of consideration. Although tendered in support of its position with Senso, DC&F has put forward case law suggesting that the court may, in appropriate circumstances, enforce an amendment or variation to a contract that is unsupported by consideration, provided that it is willingly accepted by both parties and not procured under economic duress, is not unconscionable, and there are no other public policy concerns that may render an otherwise valid term unenforceable: *King Road Paving and Landscaping Inc. v. Plati*, [2017 ONSC 557](#) at para. [66](#); *Rosas v. Toca*, [2018 BCCA 191](#) at para. [183](#).

[RT Twenty-Sixth Pension Properties Ltd v Precise Parklink Inc., \[2023\] OJ No 827, 2023 ONSC 1199, \[2023\] OJ No 827, at para 31](#): The defendants also urge that recent out-of-province jurisprudence (*Rosas v. Toca*, 2018 BCCA 191; *Greater Fredericton Airport Authority Inc. v. NAV Canada*, 2008 NBCA 28) and academic commentary show a move away from requiring consideration for variations to contracts negotiated by parties with equal bargaining power. Until the issue is revisited by our Court of Appeal, however, I am bound by *Gilbert Steel Ltd. v. University Construction Ltd.* (1976) 12 O.R. (2d) 19 (C.A.) and must proceed on the basis that consideration is necessary.

[Khan v. Shaheen Investment Inc., 2022 ONSC 3033 \(CanLII\), para 27](#): As far as I have been able to determine, the reasoning in *Rosas* has never been adopted in Ontario. The decided cases in Ontario, such as *Ballestin* cited by the applicant, appear to still require fresh consideration for an amendment to an existing contract, although what constitutes such consideration remains flexible and open to interpretation.

Exercise 1

In March, Olivia hired Mason Renovations Ltd. to renovate the kitchen of her home for \$60,000. The written contract required Mason to complete the work by June 30 and provided for payment in three instalments. Mason began work on April 1.

By late May, Mason discovered that the renovation was taking considerably longer than anticipated. He told Olivia that, unless she agreed to pay an additional \$8,000, his company would not be able to complete the project by June 30. Olivia was concerned because she had already arranged to move into the renovated kitchen before July 1. After discussing the matter, she agreed to pay the additional \$8,000 provided that Mason completed all the work by June 30. Mason replied, “That works. We will make sure everything is finished”.

Mason's employees then worked evenings and weekends, although the company had originally expected to work only regular hours. Mason completed the renovation on June 30, and Olivia paid the original contract price of \$60,000. She subsequently refused to pay the additional \$8,000, arguing that Mason had merely promised to do what he was already contractually obligated to do.

Mason claims that the agreement to pay the additional \$8,000 is binding. Olivia rejects that claim. Discuss whether Olivia is legally obligated to pay the additional \$8,000.

Exercise 2

In April, Daniel entered into a contract with Northern Events Inc. to print 10,000 brochures for \$20,000. The contract required Daniel to deliver all the brochures by September 1. Northern agreed to pay \$10,000 when the contract was signed and the remaining \$10,000 upon delivery.

In August, Daniel told Northern that the price of paper had increased significantly since the contract was made. He said that he would need an additional \$4,000 to complete the order. Northern's manager told Daniel that Northern would pay the additional \$4,000 if the 10,000 brochures were delivered by September 1. Daniel agreed.

After this agreement, Daniel rearranged his production schedule and postponed two other customers' orders. He also arranged for his employees to work evenings and weekends during the final two weeks of August. Daniel incurred additional overtime and scheduling costs.

Daniel delivered all 10,000 brochures to Northern on September 1. Northern paid Daniel the outstanding \$10,000 under the original contract but did not pay the additional \$4,000.

Daniel subsequently demanded payment of the additional \$4,000. Northern refused. Daniel brought an action against Northern for the additional amount. Discuss whether Daniel is entitled to recover the additional \$4,000.

Performance of Existing Duties – Duty Imposed By Contract with Promisor (The case of Debt and Promise to Accept a Lesser Sum) – Position of the Common Law

- The Rule in *Foakes v Beer*: Part payment of a debt cannot constitute consideration for a new agreement that prohibits the creditor from collecting on the remainder of the debt.
- *Foakes v Beer*: a judgment debtor and creditor agreed that in consideration of the debtor paying part of the judgment debt and costs immediately and the remainder by instalments, the creditor would not take any proceedings on the judgment. The House of Lords held that the agreement was not enforceable because it was without consideration, and did not prevent the creditor, after payment of the whole debt and costs, from proceeding to enforce payment of the interest on the judgment.
- Can a debtor [the promisee] escape the effect of the rule in *Foakes v Beer*? Yes
 - o Variation in time, place and method of payment
 - o Payment by negotiable instrument (e.g., promissory note or Cheque)
 - o Payment by a third party
 - o Payment in kind
 - o Promissory estoppel

Performance of Existing Duties – Duty Imposed By Contract with Promisor (The case of Debt and Promise to Accept a Lesser Sum) – Position of Statute Law

Ontario Statute Law

- [Mercantile Law Amendment Act, s. 16](#) “Part performance of an obligation either before or after a breach thereof when expressly accepted by the creditor in satisfaction or rendered in pursuance of an agreement for that purpose, though without any new consideration, shall be held to extinguish the obligation”.
 - Two methods of determining when part performance will extinguish an obligation
 - Part performance may be "expressly accepted by the creditor in satisfaction".
 - Part performance may be "rendered in pursuance of an agreement for that purpose”
- ++ This “agreement” is subject to the general law on contract, minus the requirement of consideration.

++ Note the legislation abolishes the common law rule in *Foakes v Beer* to the extent that there has been “part performance”. A mere promise to perform is not enough. See [Rosas v. Toca 2018 BCCA 191, para. 103](#): “As well, on its face, s. 43 [Law and Equity Act] does not appear to include mere promises to pay existing obligations, such as the ones at issue in this case. Unless there is actual part payment received, the principle of “a bird in the hand is worth two in the bush” which seems to motivate the rejection of the rule from *Foakes v. Beer*, does not really apply.” per Bauman CJ

Exercise 3

In January, Maya borrowed \$40,000 from Daniel to purchase equipment for her catering business. The loan agreement required Maya to repay the full amount by June 30, with interest of \$2,000. By June 15, Maya had paid Daniel \$20,000. She told Daniel that she would be unable to pay the remaining \$22,000 by June 30 because several of her largest customers had delayed payment. Daniel replied that he wanted to “resolve the matter” and that Maya should “do what she can”.

On June 28, Maya delivered to Daniel a used commercial oven that she valued at approximately \$15,000. Daniel accepted the oven and signed a handwritten receipt stating: “Commercial oven received from Maya on account of the outstanding loan.” Maya then paid Daniel another \$3,000 by electronic transfer. In the transfer description, she wrote, “final payment”. Daniel did not respond to the transfer description even though he received the transfer. He continued to use the oven in his own restaurant.

Two weeks later, Daniel sent Maya an email stating that the outstanding balance was \$4,000, consisting of the unpaid principal and interest. Maya replied that she had understood the oven and the \$3,000 payment to settle the debt and that she owed Daniel nothing further. Daniel responded that he had never agreed to accept the oven and \$3,000 as full payment. He stated that he had accepted the oven only because Maya had delivered it and that he had expected her to pay the remaining balance.

Maya has made no further payments. Daniel has commenced an action against Maya for \$4,000. Discuss whether Daniel is entitled to recover the \$4,000.

Performance of Existing Duties – Duty Imposed By Contract with a Third Party

Ben has a contract with **Jerry. Peabody**, a stranger to that contract, makes a promise to **Jerry** in return for **Jerry** performing, or promising to perform, one or more of his obligations under that contract (i.e. the contract with **Ben**).

Legal Position:

- Notwithstanding the pre-existing contractual duty Jerry owes to Ben, Jerry provides sufficient consideration for Peabody's promise by performing or promising to perform duties arising under Jerry's contract with Ben.

Justification:

- Because of Jerry's promise, Peabody obtains direct contractual relations with Jerry, which allows him to enforce that performance.
- Jerry suffers a detriment by opening himself up to two potential actions for breach – breach of contract vis-à-vis Ben and breach of contract vis-à-vis Peabody.